Equity Research

WELLS FARGO

Price Target Change — October 29, 2026

Internet

Alphabet Inc.

3Q26 EPS Review: Search Concerns Intensify

Overweight
Price Target: $371.00

Notable Changes $ (Dec)	Current	Prior	% Chg
Price Target	$371.00	$417.00	-11.0% ▼
EPS 2026	19.50	20.55	-5.1% ▼
EPS 2027	14.84	14.94	-0.7% ▼
Rev. (MM) 2026	503.68B	515.17B	-2.2% ▼
Rev. (MM) 2027	700.72B	674.43B	3.9% ▲

Ticker	GOOGL
Upside/(Downside) to Target	**14.2%**
Price (10/28/2026)	**$324.89**
52 Week Range	$267.67 - 408.61
Market Cap (MM)	$4,018,240
Enterprise Value (MM)	$3,878,244
Average Daily Value (MM)	$8,470
Dividend Yield	0.3%

$ (Dec) EPS	Q1	Q2	Q3	Q4	FY
2026E	5.11 A	9.11 A	2.12 A	3.18 E	19.50 E
Prior	NC	NC	3.10 E	3.25 E	20.55 E
2027E	3.48 E	3.64 E	3.64 E	4.09 E	14.84 E
Prior	3.46 E	3.60 E	3.78 E	4.08 E	14.94 E

Source: Company Data, Wells Fargo Securities estimates, and Factset. NA = Not Available, NC = No Change, NE = No Estimate

Our Call

Search worries intensify on greater deceleration than expected, especially post strong Meta ad results. Unlike prior search bear case, now search engagement at record growth levels. See transition to AI search as primary culprit. Reduce search ests.

We attribute the search deceleration to +12% primarily to aggressive implementation of AI Overviews and AI Mode. Despite some macro callouts, believe the widening gap between search sessions (visits), which we estimate at +36% y/y in 3Q, and paid clicks, which is likely to be reported at +9-10% y/y in the 10-Q, is driven by decreasing ad coverage and falling click-thru rates. As shown in Exhibit 4, AI Overviews penetration of US search results has more than doubled in Oct to 79% from 35% in 2Q.

Estimate 3Q:26 TPU external sales of $4.0B (vs $1.25B in 2Q) implies core Cloud revenue only accelerated modestly due to likely shift in compute allocation toward internal training. See the $1.9B Q/Q step-up in Alphabet-level OI losses to $7.7B as signs of additional compute resources devoted to Gemini 4 model family training. Given ongoing capacity constraints, believe reallocation may have come at expense of core cloud. Now we assume 0.5 / 4.5 / 7.0GW in '26 / '27 / '28 for external TPU sales.

As shown in Exhibit 3, we interpret call commentary supporting our view that TPU external sales are dilutive to core Cloud margins. Now forecast ~20% margins vs core GCP margins of 35-40%. Revised TPU margins 20% (13% prior) at low end of buyside expects of 20-30%. Expect 4Q Cloud OI margins decline to 29.3% (from 36.2% in 3Q), reflecting $8.8B of TPU revenue and incr. $1.5B headwind from full qtr impact of short-term capacity rental w/ SPCX. Continue to forecast 50% core incremental margins.

While Google moves back to the model frontier w/ Carbon, search concerns move to the forefront and could be exacerbated by the expected debut of Google's consumer agent by YE26, which has the potential to cannibalize commercial search activity. Based on call commentary, believe the consumer application will be Gemini branded. Gemini starts with wide distribution at 1B+ users, but will require a significant compute allocation to offer a freemium consumer agent with minimal monetization near term.

Estimates, rating and price target. '27 total revenue estimates largely unchanged, as +7% revision to Cloud revenue, all TPU sales, offsets 5% reduction to Search revenue. Reduce '28 total revenue estimates by 140bps. '27 / '28 total OI estimates trimmed by 3% / 3%. Reduce '27 / '28 GAAP EPS estimate 2% / 4% to $14.84 / $18.20. Total '27 & '28 CapEx estimates are unchanged at $349B and $374B. Reiterate Overweight rating and cut PT to $371 (prior $417), based on 25.0x (prior 27.5x) '27E EPS.

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All estimates/forecasts are as of 10/29/2026 unless otherwise stated. 10/29/2026 6:48:24EDT. Please see page 8 for rating definitions, important disclosures and required analyst certifications. Wells Fargo Securities, LLC does and seeks to do business with companies covered in its research reports. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of the report and investors should consider this report as only a single factor in making their investment decision.

Wells Fargo Express Takeaways

Alphabet Inc. (GOOGL) | Rating: Overweight | Price Target: $371.00
Analyst: Ken Gawrelski

Financials

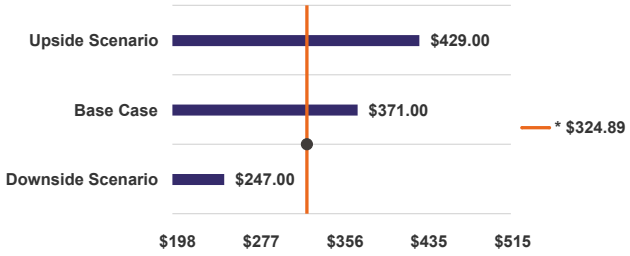
FY (Dec) $	2025A	2026E	2027E
ESTIMATES			
EPS			
Q1	2.81 A	5.11 A	3.48 E
Q2	2.31 A	9.11 A	3.64 E
Q3	2.87 A	2.12 A	3.64 E
Q4	2.82 A	3.18 E	4.09 E
AN	10.81 A	19.50 E	14.84 E
Rev. (MM)	402.84B A	503.68B E	700.72B E
EBIT (MM)	129,039.0 A	167,779.9 E	217,427.3 E
WELLS FARGO vs. CONSENSUS			
Consensus Estimate	10.81 A	19.52 E	14.75 E
Difference from Consensus		(0.1)%	0.6%
VALUATION			
P/E	30.1x	16.7x	21.9x
EV/Revenue	9.6x	7.7x	5.5x
EV/EBIT	30.1x	23.1x	17.8x

Consensus Estimate: EPS; Source: VisibleAlpha
Source: Company Data, Wells Fargo Securities estimates, and Factset.
NA = Not Available, NE = No Estimate

Investment Thesis

We rate GOOGL OW. Believe GOOGL has all the pieces necessary to be an AI winner, with an industry-leading capacity position to support internal efforts (Search, Gemini) and monetize externally through GCP, broad distribution network, and vast consumer data. We're more comfortable with Google's competitive position in search, given progress with AI mode and Gemini adoption, and overall see AI as TAM expanding.

Risk vs. Reward – Upside/Downside Price Target Scenarios



**As of 10/28/26*
Source: Wells Fargo Securities, LLC estimates and Factset.

Base Case | $371.00

- Our PT of $371 is based on a 25.0x multiple on our 2027 EPS estimate.
- Our multiple represents a premium to GOOGL's average FY+2 P/E multiple of 19x over the past 24 months.

Upside Scenario | $429.00

- Upside scenario is $429, which applies a 27.5x multiple to a higher 2027E EPS estimate of $15.58
- Upside to our PT would be driven by faster-than-expected revenue growth, and
- Lower TAC payments to distribution partners.

Downside Scenario | $247.00

- Downside scenario is $247, which applies a 17.5x multiple to a lower 2027 EPS estimate of $14.10
- Downside to our PT would be driven by slower-than-expected revenue growth, and
- Higher TAC payments to distribution partners.

Upcoming Catalysts

- 4Q:26 Earnings Release

Company Description

Alphabet Inc. is the holding co. owner of Google Inc., a global technology company with a stated mission to “organize the world's information and make it universally accessible and useful.” Founded in 1998, Google operates the world's leading search engine platform and has led the development of Android, the world's leading mobile operating system. Other products include YouTube, Chrome OS and browser, Google Docs, Gmail, and Google Playstore. Alphabet is headquartered in Mountain View, CA.

Exhibit 1 - Actual vs. Estimates

Actual vs. Estimates ($M or M, Except Per Share)	Actual 3Q26	% - Y/Y	% - Q/Q	WFS Est. 3Q26	Actual vs. WFS Est.	Street 3Q26	Actual vs. Street
Total GAAP Revenue	**127,577**	***25%***	***6%***	**135,403**	***(6%)***	**127,891**	***(0%)***
Total Revenue (Excl. TAC)	**111,211**	***27%***	***7%***	**118,921**	***(6%)***	**111,368**	***(0%)***
Total Advertising TAC	**(16,366)**	***10%***	***1%***	**(16,483)**	***(1%)***	**(16,523)**	***(1%)***
As % of GAAP Revenue	*12.8%*	*(171 bps)*	*(68 bps)*	*12.2%*	*66 bps*	*12.9%*	*(9 bps)*
Operating Income	**40,576**	***30%***	***(0%)***	**45,001**	***(10%)***	**43,413**	***(7%)***
Op Margin - GAAP Revenue	*31.8%*	*129 bps*	*(223 bps)*	*33.2%*	*(143 bps)*	*33.9%*	*(214 bps)*
GAAP Diluted EPS	**$2.12**	***(26%)***	***(77%)***	**$3.11**	***(32%)***	**$2.94**	***(28%)***
CapEx	**(51,355)**	***114%***	***14%***	**(49,583)**	***4%***	**(56,068)**	***(8%)***
FCF	**(9,065)**	***--***	***55%***	**14,846**	***--***	**(4,063)**	***123%***
Employee Net Adds	**5,824**	***90%***	***37%***	**2,586**	***125%***	**1,910**	***205%***
Segments							
Search Revenue	63,350	*12%*	*0%*	64,789	*(2%)*	64,867	*(2%)*
% - Y/Y, Constant Currency (Est.)	*12.7%*	*(19 bps)*	*(332 bps)*	*14.9%*	*(218 bps)*	*16.0%*	*(332 bps)*
YouTube Revenue	11,207	*9%*	*1%*	11,459	*(2%)*	11,449	*(2%)*
% - Y/Y, Constant Currency (Est.)	*9.9%*	*(360 bps)*	*(218 bps)*	*12.0%*	*(210 bps)*	*13.6%*	*(371 bps)*
Sites Revenue	**74,557**	***12%***	***0%***	**76,248**	***(2%)***	**76,317**	***(2%)***
Network Revenue	7,455	*1%*	*2%*	7,170	*4%*	7,231	*3%*
Advertising Revenue	**82,012**	***11%***	***0%***	**83,418**	***(2%)***	**83,548**	***(2%)***
Advertising TAC Rate	*20.0%*	*(10 bps)*	*14 bps*	*19.8%*	*20 bps*	*19.8%*	*18 bps*
Google Other Revenue	14,290	*11%*	*11%*	14,920	*(4%)*	14,756	*(3%)*
Google Services Revenue	**96,302**	***11%***	***2%***	**98,338**	***(2%)***	**98,304**	***(2%)***
Google Services Operating Income	39,157	*17%*	*(1%)*	43,220	*(9%)*	40,851	*(4%)*
Op Margin - Google Services	*40.7%*	*215 bps*	*(117 bps)*	*44.0%*	*(329 bps)*	*41.6%*	*(90 bps)*
Core Cloud Revenue (Ex. TPU Sales)		*--*	*--*	27,470		23,229	*--*
TPU Sales		*--*	*--*	**9,200**		5,955	*--*
Google Cloud Revenue	**30,709**	***103%***	***24%***	**36,670**	***(16%)***	**29,184**	***5%***
% Y/Y Growth	*102.6%*	*6,910 bps*	*2,081 bps*	*141.9%*	*(3,933 bps)*	*92.5%*	*1,006 bps*
Google Cloud Operating Income	**11,121**	***209%***	***26%***	**10,582**	***5%***	**9,826**	***13%***
Op Margin - Google Cloud	*36.2%*	*1,250 bps*	*63 bps*	*28.9%*	*736 bps*	*33.7%*	*254 bps*
% Incremental Margin	*48.4%*	*510 bps*	*(533 bps)*	*32.5%*	*1,591 bps*	*44.4%*	*397 bps*
Other Bets Revenue	**372**	***8%***	***(3%)***	**396**	***(6%)***	**378**	***(2%)***
Other Bets Operating Income	**(2,047)**	***44%***	***14%***	**(1,750)**	***17%***	**(1,597)**	***28%***
Op Margin - Other Bets	*(550.3%)*	*(13,573 bps)*	*(7,933 bps)*	*(442.4%)*	*(10,790 bps)*	*(422.6%)*	*(12,768 bps)*

Source: Wells Fargo Securities, LLC Estimates, Company Reports, VisibleAlpha

Exhibit 2 - TPU Contribution to 3Q:26

	1Q25A	2Q25A	3Q25A	4Q25A	2025A	1Q26A	2Q26A	3Q26A	Memo
Core Cloud Revenue	**12,260**	**13,624**	**15,157**	**17,664**	**58,705**	**20,028**	**23,518**	**26,709**	
% Y/Y Growth	*28.1%*	*31.7%*	*33.5%*	*47.8%*	*35.8%*	*63.4%*	*72.6%*	*76.2%*	
(+) External TPU Sales							1,250	4,000	WFSe
(=) Total Cloud Revenues	**12,260**	**13,624**	**15,157**	**17,664**	**58,705**	**20,028**	**24,768**	**30,709**	
% Y/Y Growth	*28.1%*	*31.7%*	*33.5%*	*47.8%*	*35.8%*	*63.4%*	*81.8%*	*102.6%*	
Core Google Cloud OI	2,177	2,826	3,594	5,313	13,910	6,598	8,564	10,505	
% Core Margins	*17.8%*	*20.7%*	*23.7%*	*30.1%*	*23.7%*	*32.9%*	*36.4%*	*39.3%*	
% Core Incremental Margins	*47.5%*	*50.5%*	*43.3%*	*56.4%*	*50.4%*	*56.9%*	*58.0%*	*59.8%*	
External TPU Sales	-	-	-	-	-	-	250	800	
External TPU Margins	-	-	-	-	-	-	*20.0%*	*20.0%*	WFSe
3p Capacity OI								(184)	SPCX Contract Start Sept '26
Total Google Cloud OI	**2,177**	**2,826**	**3,594**	**5,313**	**13,910**	**6,598**	**8,814**	**11,121**	
% Margin	*17.8%*	*20.7%*	*23.7%*	*30.1%*	*23.7%*	*32.9%*	*35.6%*	*36.2%*	
% Incremental Margin	*47.5%*	*50.5%*	*43.3%*	*56.4%*	*50.4%*	*56.9%*	*53.7%*	*48.4%*	

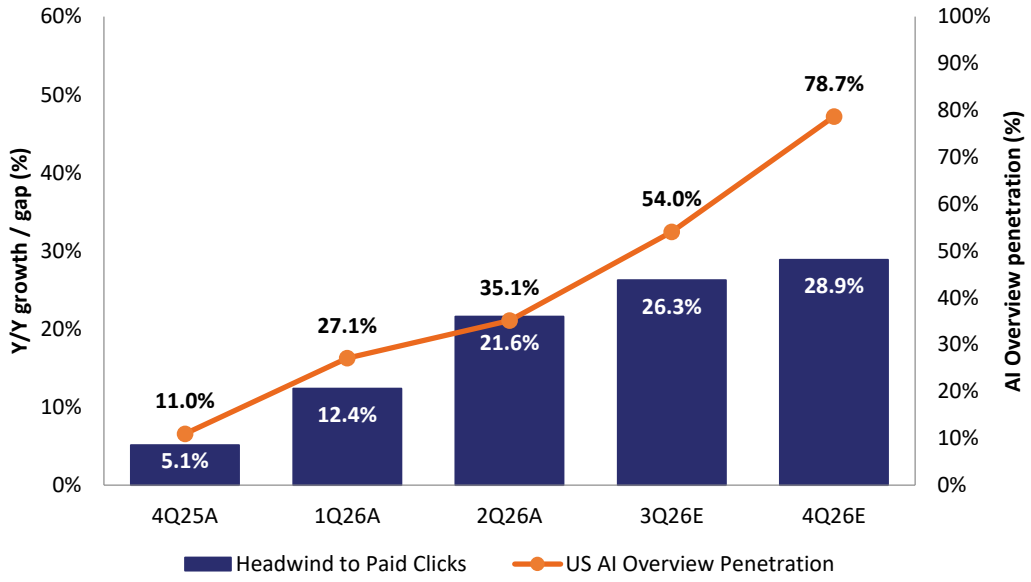
Source: Wells Fargo Securities, LLC Estimates, Company Reports

Exhibit 3 - 3Q:26 EPS Call Commentary: TPU Margins

GOOGL 3Q:26 EPS Q&A: TPU Margins	
Question	And then I'll go again at TPU margins. We're wondering do you think this is a really good business for you and maybe why? If you can't give us the margins, why do you think this is a good way to use all this capacity?
Answer	On TPU systems and margins, we don't break out margins for individual products or infrastructure components. However, we see several benefits from designing and manufacturing TPU systems. So, first of all, to remind you, the TPU system is not just a chip, but it's a complete system. Given the price performance benefits of TPU systems relative to competitors, growing demand for accelerated compute and the scarcity of accelerated compute, **we're very focused on continuing to improve margins as we scale the business**.

Source: Wells Fargo Securities, LLC, Company Reports, Bloomberg

Exhibit 4 - US AI Overview Penetration vs. Projected Headwind to Paid Clicks



Source: Wells Fargo Securities, LLC Estimates, SensorTower, SimilarWeb, SEMrush

Exhibit 5 - Estimate Revisions

Estimate Revisions ($M or M, Except Per Share)	New 4Q26	Old 4Q26	% - Change	New 1Q27	Old 1Q27	% - Change	New FY27	Old FY27	% - Change	New FY28	Old FY28	% - Change
Total GAAP Revenue	**146,407**	**150,878**	***(3.0%)***	**160,627**	**161,199**	***(0.4%)***	**700,720**	**698,774**	***0.3%***	**879,153**	**891,437**	***(1.4%)***
Total Revenue (Excl. TAC)	**128,563**	**132,696**	***(3.1%)***	**144,647**	**144,750**	***(0.1%)***	**631,059**	**626,426**	***0.7%***	**805,244**	**813,283**	***(1.0%)***
Total Distribution TAC	**(17,844)**	**(18,181)**	***(1.9%)***	**(15,980)**	**(16,449)**	***(2.8%)***	**(69,661)**	**(72,349)**	***(3.7%)***	**(73,909)**	**(78,154)**	***(5.4%)***
As % of GAAP Revenue	*12.2%*	*12.1%*	*14 bps*	*9.9%*	*10.2%*	*(26 bps)*	*9.9%*	*10.4%*	*(41 bps)*	*8.4%*	*8.8%*	*(36 bps)*
Operating Income	**46,738**	**48,546**	***(3.7%)***	**50,689**	**51,402**	***(1.4%)***	**217,427**	**224,057**	***(3.0%)***	**276,673**	**285,863**	***(3.2%)***
Op Margin - GAAP Revenue	*31.9%*	*32.2%*	*(25 bps)*	*31.6%*	*31.9%*	*(33 bps)*	*31.0%*	*32.1%*	*(104 bps)*	*31.5%*	*32.1%*	*(60 bps)*
GAAP Diluted EPS	**$3.18**	**$3.35**	***(5.0%)***	**$3.48**	**$3.51**	***(0.7%)***	**$14.84**	**$15.17**	***(2.1%)***	**$18.20**	**$18.95**	***(3.9%)***
CapEx	**(66,523)**	**(68,295)**	***(2.6%)***	**(71,348)**	**(71,348)**	***0.0%***	**(349,270)**	**(349,270)**	***0.0%***	**(373,883)**	**(373,883)**	***0.0%***
FCF	**(19,678)**	**(14,571)**	***35.1%***	**15,286**	**15,680**	***(2.5%)***	**(61,387)**	**(63,069)**	**--**	**6,131**	**57,906**	***(89.4%)***
Employee Net Adds	**2,048**	**1,008**	***103.2%***	**906**	**901**	***0.5%***	**5,170**	**3,038**	***70.2%***	**3,180**	**3,083**	***3.1%***
Segments												
Search Revenue	69,486	70,915	*(2.0%)*	65,142	67,760	*(3.9%)*	280,712	295,631	*(5.0%)*	308,825	332,097	*(7.0%)*
% - Y/Y	*10.2%*	*12.4%*	*(227 bps)*	*7.9%*	*12.2%*	*(434 bps)*	*9.4%*	*14.0%*	*(454 bps)*	*10.0%*	*12.3%*	*(232 bps)*
% - Y/Y, Constant Currency (Est.)	*10.3%*	*12.4%*	*(207 bps)*	*8.5%*	*12.5%*	*(394 bps)*	*10.0%*	*14.2%*	*(417 bps)*	*10.0%*	*12.3%*	*(232 bps)*
YouTube Revenue	12,848	12,871	*(0.2%)*	10,803	10,842	*(0.4%)*	48,903	49,359	*(0.9%)*	53,794	54,295	*(0.9%)*
% - Y/Y, Constant Currency (Est.)	*13.0%*	*13.0%*	*--*	*10.0%*	*10.0%*	*--*	*9.3%*	*9.2%*	*2 bps*	*10.0%*	*10.0%*	*--*
Sites Revenue	**82,335**	**83,786**	***(1.7%)***	**75,945**	**78,602**	***(3.4%)***	**329,615**	**344,991**	***(4.5%)***	**362,619**	**386,393**	***(6.2%)***
Network Revenue	7,632	7,632	*0.0%*	6,727	6,727	*0.0%*	28,334	28,059	*1.0%*	26,917	26,656	*1.0%*
Advertising Revenue	**89,967**	**91,418**	***(1.6%)***	**82,672**	**85,329**	***(3.1%)***	**357,949**	**373,050**	***(4.0%)***	**389,536**	**413,048**	***(5.7%)***
Advertising TAC Rate	*19.8%*	*19.9%*	*(5 bps)*	*19.3%*	*19.3%*	*5 bps*	*19.5%*	*19.4%*	*7 bps*	*19.0%*	*18.9%*	*5 bps*
Subscriptions, Platforms, and Devices	15,609	15,860	*(1.6%)*	14,725	14,950	*(1.5%)*	65,260	67,221	*(2.9%)*	73,217	76,447	*(4.2%)*
Google Services Revenue	**105,576**	**107,278**	***(1.6%)***	**97,397**	**100,279**	***(2.9%)***	**423,209**	**440,271**	***(3.9%)***	**462,753**	**489,495**	***(5.5%)***
Google Services Operating Income	44,128	47,696	*(7.5%)*	42,651	47,356	*(9.9%)*	174,105	198,405	*(12.2%)*	185,575	218,575	*(15.1%)*
Op Margin - Google Services	*41.8%*	*44.5%*	*(266 bps)*	*43.8%*	*47.2%*	*(343 bps)*	*41.1%*	*45.1%*	*(393 bps)*	*40.1%*	*44.7%*	*(455 bps)*
Core Cloud Revenue (Ex. TPU Sales)	**31,674**	**31,674**	***0.0%***	**33,862**	**33,862**	***0.0%***	**157,500**	**157,552**	***(0.0%)***	**230,386**	**230,568**	***(0.1%)***
TPU Sales	**8,750**	**11,500**	***(23.9%)***	**28,875**	**26,565**	***8.7%***	**118,125**	**99,015**	***19.3%***	**183,750**	**169,050**	***8.7%***
Google Cloud Revenue	**40,424**	**43,174**	***(6.4%)***	**62,737**	**60,427**	***3.8%***	**275,625**	**256,567**	***7.4%***	**414,136**	**399,618**	***3.6%***
Google Cloud Operating Income	**11,860**	**11,610**	***2.2%***	**17,085**	**14,775**	***15.6%***	**80,841**	**68,888**	***17.4%***	**130,993**	**112,904**	***16.0%***
Op Margin - Google Cloud	*29.3%*	*26.9%*	*245 bps*	*27.2%*	*24.5%*	*278 bps*	*29.3%*	*26.8%*	*248 bps*	*31.6%*	*28.3%*	*338 bps*
Alphabet-Level Activities OI	**(7,750)**	**(9,260)**	***(16.3%)***	**(7,547)**	**(9,229)**	***(18.2%)***	**(32,019)**	**(37,736)**	***(15.2%)***	**(35,220)**	**(40,940)**	***(14.0%)***
Other Bets Revenue	**407**	**426**	***(4.3%)***	**493**	**493**	***0.0%***	**1,886**	**1,937**	***(2.6%)***	**2,264**	**2,324**	***(2.6%)***
Other Bets Operating Income	**(1,500)**	**(1,500)**	***0.0%***	**(1,500)**	**(1,500)**	***0.0%***	**(5,500)**	**(5,500)**	***0.0%***	**(4,675)**	**(4,675)**	***0.0%***

Source: Wells Fargo Securities, LLC Estimates, Company Reports

Financials

Exhibit 6 - Income Statement

(USD Millions, Except Per Share)	2023A	2024A	2025A	1Q26A	2Q26A	3Q26A	4Q26E	2026E	2027E	2028E
Income Statement										
Revenue	**307,394**	**350,018**	**402,836**	**109,896**	**119,796**	**127,577**	**146,407**	**503,676**	**700,720**	**879,153**
% Y/Y - Revenue	*8.7%*	*13.9%*	*15.1%*	*21.8%*	*24.2%*	*24.7%*	*28.6%*	*25.0%*	*39.1%*	*25.5%*
Cost of Revenue	(133,332)	(146,306)	(162,535)	(41,271)	(45,943)	(51,419)	(62,736)	(201,369)	(330,608)	(429,902)
Research and Development	(45,427)	(49,326)	(61,087)	(17,032)	(18,219)	(20,640)	(21,249)	(77,140)	(92,564)	(108,300)
Sales and Marketing	(27,917)	(27,808)	(28,693)	(7,606)	(8,403)	(8,804)	(9,488)	(34,301)	(38,380)	(41,450)
General and Administrative	(16,425)	(14,188)	(21,482)	(4,291)	(6,461)	(6,138)	(6,196)	(23,086)	(21,741)	(22,828)
Other	0	0	0	0	0	0	0	0	0	0
Total Costs and Expenses	**(223,101)**	**(237,628)**	**(273,797)**	**(70,200)**	**(79,026)**	**(87,001)**	**(99,669)**	**(335,896)**	**(483,293)**	**(602,481)**
Operating Income	**84,293**	**112,390**	**129,039**	**39,696**	**40,770**	**40,576**	**46,738**	**167,780**	**217,427**	**276,673**
% Y/Y - Operating Income	*12.6%*	*33.3%*	*14.8%*	*29.7%*	*30.4%*	*29.9%*	*30.1%*	*30.0%*	*29.6%*	*27.2%*
% Margin - Operating Income	*27.4%*	*32.1%*	*32.0%*	*36.1%*	*34.0%*	*31.8%*	*31.9%*	*33.3%*	*31.0%*	*31.5%*
Interest Income	3,865	4,482	4,337	1,381	1,430	1,768	1,933	6,512	11,209	8,476
Interest Expense	(308)	(268)	(736)	(533)	(1,278)	(967)	(1,232)	(4,010)	(5,865)	(11,057)
Foreign Currency Exchange Gain (Loss), Net	(1,238)	(409)	(382)	146	(160)	22	0	8	0	0
Gain (Loss) on Debt Securities, Net	(1,215)	(1,043)	540	(111)	(32)	(383)	0	(526)	0	0
Gain (Loss) on Equity Securities, Net	392	3,714	24,080	36,915	99,031	(8,664)	0	127,282	0	0
Performance Fees	257	218	(297)	0	0	0	0	0	0	0
Gain (Loss) & Imp. from Eq Method Invest., Net	(628)	(188)	281	60	(35)	(143)	0	(118)	0	0
Other	299	919	1,964	(142)	(973)	146	0	(969)	0	0
Other Income (Expenses), Net	1,424	7,425	29,787	37,716	97,983	(8,221)	701	128,179	5,344	(2,581)
Pre-Tax Income	**85,717**	**119,815**	**158,826**	**77,412**	**138,753**	**32,355**	**47,439**	**295,959**	**222,771**	**274,092**
Provision for Income Taxes	(11,922)	(19,697)	(26,656)	(14,834)	(26,560)	(5,887)	(7,827)	(55,108)	(36,757)	(45,225)
% Tax Rate	*13.9%*	*16.4%*	*16.8%*	*19.2%*	*19.1%*	*18.2%*	*16.5%*	*18.6%*	*16.5%*	*16.5%*
Net Income	**73,795**	**100,118**	**132,170**	**62,578**	**112,193**	**26,170**	**39,313**	**240,254**	**184,820**	**227,673**
% Y/Y - Net Income	*23.0%*	*35.7%*	*32.0%*	*81.2%*	*297.9%*	*(25.2%)*	*14.1%*	*81.8%*	*(23.1%)*	*23.2%*
Basic Shares Outstanding	12,630	12,319	12,116	12,099	12,151	12,256	12,260	12,191	12,324	12,377
Diluted Shares Outstanding	12,722	12,447	12,230	12,238	12,309	12,368	12,372	12,322	12,454	12,507
% Y/Y - Diluted Shares Outstanding	*(3.3%)*	*(2.2%)*	*(1.7%)*	*(0.4%)*	*0.9%*	*1.4%*	*1.2%*	*0.7%*	*1.1%*	*0.4%*
Basic EPS	$5.84	$8.13	$10.91	$5.17	$9.23	$2.14	$3.21	$19.71	$15.00	$18.39
% Y/Y - Basic EPS	*252.7%*	*274.5%*	*282.2%*	*81.2%*	*78.5%*	*(76.9%)*	*50.2%*	*80.7%*	*(23.9%)*	*22.7%*
Diluted EPS	**$5.80**	**$8.04**	**$10.81**	**$5.11**	**$9.11**	**$2.12**	**$3.18**	**$19.50**	**$14.84**	**$18.20**
% Y/Y - Diluted EPS	*27.3%*	*38.7%*	*34.4%*	*82.0%*	*294.3%*	*(26.2%)*	*12.8%*	*80.4%*	*(23.9%)*	*22.7%*
EBITDA Including SBC	**96,239**	**127,701**	**150,175**	**46,178**	**47,874**	**48,945**	**56,532**	**199,529**	**273,735**	**364,382**
% Y/Y - EBITDA Including SBC	*6.0%*	*32.7%*	*17.6%*	*31.6%*	*32.0%*	*32.9%*	*34.7%*	*32.9%*	*37.2%*	*33.1%*
% Margin - EBITDA Including SBC	*31.3%*	*36.5%*	*37.3%*	*42.0%*	*40.0%*	*38.4%*	*38.6%*	*39.6%*	*39.1%*	*41.4%*
Dividend Per Share	**$0.00**	**$0.60**	**$0.83**	**$0.21**	**$0.22**	**$0.22**	**$0.22**	**$0.87**	**$1.07**	**$1.20**
% Y/Y - Dividend Per Share	--	--	*38.3%*	*5.0%*	*4.8%*	*4.8%*	*4.8%*	*4.8%*	*22.8%*	*12.0%*

Source: Wells Fargo Securities, LLC Estimates, Company Reports

Investment Thesis, Valuation and Risks

Alphabet Inc. (GOOGL)

Investment Thesis

We rate GOOGL OW. Believe GOOGL has all the pieces necessary to be an AI winner, with an industry-leading capacity position to support internal efforts (Search, Gemini) and monetize externally through GCP, broad distribution network, and vast consumer data. We're more comfortable with Google's competitive position in search, given progress with AI mode and Gemini adoption, and overall see AI as TAM expanding.

Target Price Valuation for GOOGL

- Our PT of $371 is based on a 25.0x multiple on our 2027 EPS estimate.
- Our multiple represents a premium to GOOGL's average FY+2 P/E multiple of 19x over the past 24 months.

Risks to Our Price Target and Rating for GOOGL

Downside risks: 1) Major distribution partners (MDPs) significantly increase the contractual rev share % in their agreements with Google; 2) MDPs decline to renew existing agreements with Google; 3) Search share losses to AI competitors accelerate, 4) Rising efficiency of conversational searches drastically decreases the # of Google's traditional search queries.

Companies Mentioned in Report

Company Name	Ticker	Last Price (10/28/26)
Alphabet Inc.	GOOGL	$324.89

Source: Wells Fargo Securities LLC Estimates, FactSet

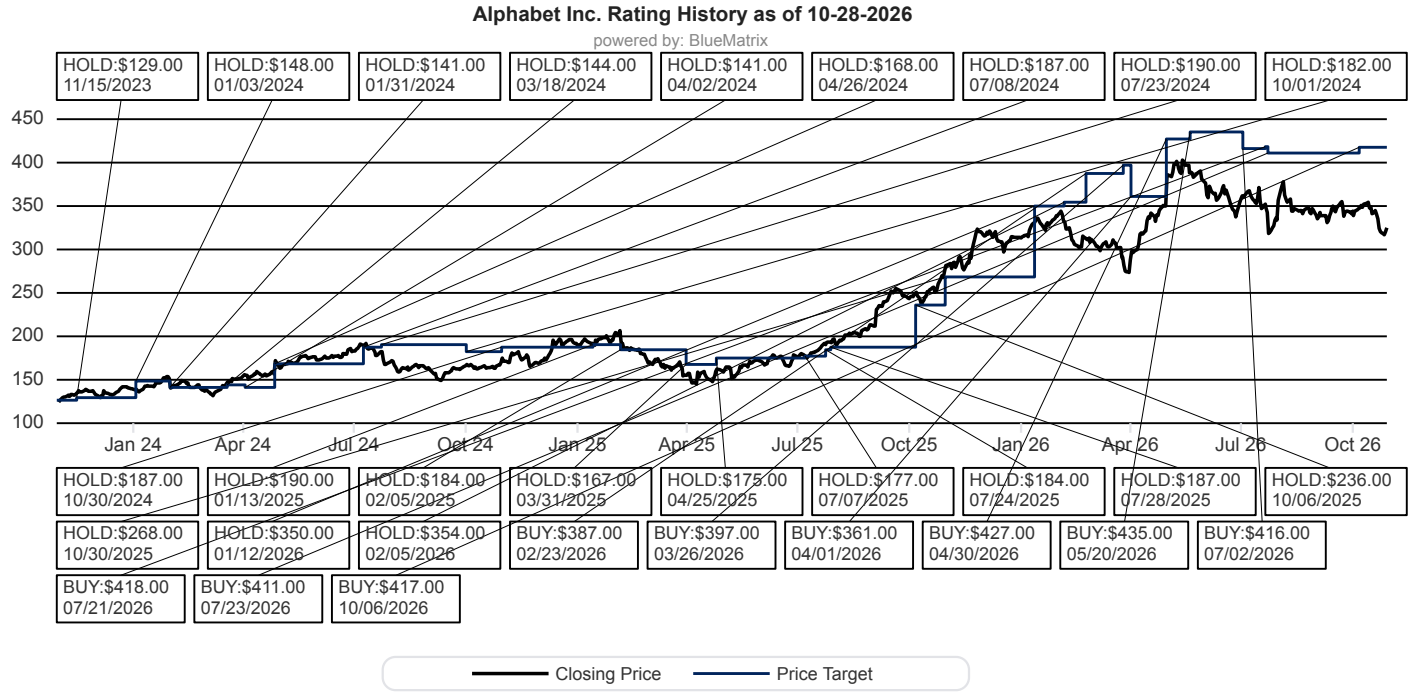
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